

SUBJECT PROPERTY | EXTERIOR STREETVIEW

VERDICT: PASS | INVESTMENT SCORE: 15/100

PROPERTY & VALUATION SNAPSHOT

Property Type	Multi-Family
Beds	6
Baths	5
Year Built	1922

Asking Price	$930,000
Est. True Market Value (TMV)	$1,075,000
Est. After-Repair Value (ARV)	$1,075,000
Est. Renovation Budget	$15,000

EXECUTIVE SUMMARY

This investment proposal for 71 Lindsley Ave is a definitive 'PASS' due to a catastrophic and non-mitigatable flaw in its tax assessment. The property is currently taxed as vacant land, creating an artificially low carrying cost that will evaporate upon reassessment, increasing the tax liability by an estimated 5,000% and rendering the asset severely cash-flow negative. This fundamental issue, combined with a weak hyper-local rental market characterized by declining rents and high crime, makes the 'new construction' appeal a facade for a financially unviable asset. The projected returns are deeply negative, and the property would fail to qualify for conventional financing under a stabilized expense load.

FINANCIAL PERFORMANCE

The financial viability of this asset is fundamentally broken. The pro-forma analysis, which must account for a stabilized tax assessment reflective of a new 4,300 sq. ft. structure, reveals a deeply negative cash flow scenario. The current tax bill of $688 is an anomaly based on its 'vacant land' classification and will inevitably be corrected to an estimated $35,000-$39,000 annually. This single expense line item obliterates any potential for positive returns. Even with optimistic rental income projections, the Net Operating Income (NOI) is insufficient to cover standard debt service, resulting in a DSCR well below 1.0, making the property unfinanceable through traditional lenders. The investment fails on every critical metric, from a sub-2% cap rate to a double-digit negative cash-on-cash return, indicating that an investor would be subsidizing the property's operations annually.

OPERATING PRO-FORMA

Gross Potential Rent (Annual)	$73,200
Vacancy Loss (10%)	($7,320)
Effective Gross Income (EGI)	$65,880
Operating Expenses (Stabilized)	($54,200)
Net Operating Income (NOI)	$11,680
Annual Debt Service	($50,184)
Annual Pre-Tax Cash Flow	($38,504)

YIELD & RETURN METRICS

Capitalization Rate	1.26%
Cash-on-Cash Return	-14.53%
Debt Service Coverage Ratio (DSCR)	0.23

RENOVATION & CAPEX ANALYSIS

The property is marketed as 'new construction,' implying a turnkey condition with minimal immediate capital expenditure required. The renovation scope is therefore not a rehabilitation but rather an 'investor-readiness' package. This includes addressing minor punch-list items typical of new builds, outfitting the units with window treatments, and potentially adding smart-home features like keyless entry to justify the 'luxury' branding. A critical area of concern is the 'ground-level recreation area.' Any attempt to convert this flex space into a third rentable unit without proper permits and zoning variances would constitute a significant legal and financial risk. The primary focus of capital should be on preserving liquidity for the inevitable tax cliff, not on physical improvements.

ITEMIZED CAPEX BUDGET

Category	Est. Cost	Priority
Cosmetic Punch List & Paint	$2,500	Medium
Window Treatments (All Units)	$5,000	High
Smart Locks & Security Systems	$1,500	Low
Appliances (Contingency)	$6,000	Low
Total Initial Investment	$15,000	High

MARKET & ZONING INTELLIGENCE

The investment thesis for 71 Lindsley Ave is undermined by a stark disconnect between regional and hyper-local market dynamics. While Essex County presents 'Urban Value Plays,' the specific 07106 zip code exhibits severe weaknesses that contradict this narrative. The local rental market is cooling, with declining median rents and a high supply of available units, which will suppress income and increase vacancy risk. This is compounded by a high crime rate (23.6 per thousand) and stagnant local appreciation (1.2% YoY), indicating the neighborhood is underperforming the broader market. The extreme volatility in local price-per-square-foot data suggests a fragmented and unstable market, making accurate valuation and exit strategy planning exceptionally difficult. The property's only strong locational attribute is its excellent access to public transit, which is insufficient to offset the significant market-related risks.

ENVIRONMENTAL & LOCATIONAL FACTORS

Nearest Transit	Multiple Bus Lines (<0.25 mi)
Crime Rate Status	23.6 per 1000
Flood Zone	Zone X
Wetlands	None Identified
Contamination	None Identified

TAX ASSESSMENT & APPEAL STRATEGY

The property's tax situation presents the single greatest risk to this investment and dictates a strategy of avoidance. The current assessment of $18,100 is based on an erroneous 'Vacant Land' classification. With an estimated True Market Value (TMV) exceeding $1,000,000, the property falls deep into the 'RISK' zone for a Chapter 123 tax appeal. The TMV is substantially greater than the calculated upper threshold of $52,846, meaning any appeal filed by the owner would almost certainly trigger a cross-petition from the municipality to reassess the property to its correct value. This would result in a catastrophic tax increase, not savings. The only viable strategy is to underwrite the deal assuming a fully-assessed tax liability of approximately $35,000-$39,000 annually and, based on that reality, reject the investment.

CHAPTER 123 TAX METRICS

Current Assessment	$18,100
Director Ratio	40.29%
Upper Limit (Common Level)	$46,330
Lower Limit (Common Level)	$34,250
Est. Tax Savings	N/A - Appeal would trigger massive tax increase

IDENTIFIED CRITICAL RISKS

- Catastrophic Tax Reassessment: The property's classification as 'Vacant Land' guarantees an imminent and massive property tax increase of over 5,000%, which single-handedly destroys the investment's financial viability.

- Severe Negative Cash Flow: Post-tax-stabilization, the property will generate approximately -$38,000 in negative annual cash flow, requiring significant capital infusion from the investor each year.

- Weak Hyper-Local Market: The investment is located in a submarket with declining rents, high vacancy, stagnant appreciation, and high crime, directly contradicting a cash-flow investment thesis.

- Zoning & Liability Risk: The 'ground-level recreation area' presents a significant risk of being an illegal unit. Attempting to rent it would expose the owner to fines, legal action, and liability.

MITIGATION STRATEGIES

- Tax Risk Mitigation: The only mitigation is to underwrite the deal using a stabilized tax value of ~$38,000 annually. This strategy reveals the deal is not viable, and the correct action is to pass on the acquisition.

- Cash Flow Mitigation: There is no realistic mitigation. Rental income cannot be increased enough to cover the stabilized expenses and debt service. The property is structurally unprofitable at the asking price.

- Market Risk Mitigation: An investor would need to acquire the property at a severe discount (likely below 50% of asking price) to offset the weak market fundamentals, an unrealistic expectation.

- Zoning Risk Mitigation: Do not, under any circumstances, market or rent the ground-level space as a separate dwelling unit. It must be used strictly as an amenity space for one of the legal units as intended.